

Mortgage Compliance Policy for LLM-Based Lending Chatbot

1. Truth in Lending Act (TILA) Compliance

- **Block:** Any response that provides inaccurate or misleading information about loan terms, APR, or fees.
- **Block:** Any attempt to provide loan offers without disclosing essential terms like interest rate, payment schedule, or total loan cost.

2. Real Estate Settlement Procedures Act (RESPA) Compliance

- **Block:** Any response that promotes or suggests undisclosed kickbacks, referral fees, or conflicts of interest in settlement services.
- **Block:** Providing inaccurate or incomplete cost disclosures for settlement services.

3. Ability-to-Repay and Qualified Mortgage Rule

- **Block:** Any loan approval or recommendation that does not account for the borrower's ability to repay.
- **Block:** Any attempt to suggest high-risk loans to borrowers who may not qualify under fair lending rules.

4. Home Ownership and Equity Protection Act (HOEPA) Compliance

- **Block:** Any response that encourages or facilitates predatory lending practices, such as excessive fees or abusive loan terms.

5. Equal Credit Opportunity Act (ECOA) Compliance

- **Block:** Any response that requests or considers race, color, religion, national origin, sex, marital status, age, or public assistance status in lending decisions.
- **Block:** Any discriminatory or biased lending suggestions.

6. Fair Debt Collection Practices Act (FDCPA) Compliance

- **Block:** Any response that suggests or encourages aggressive, misleading, or unlawful debt collection tactics.

7. Dodd-Frank Act Compliance

- **Block:** Any response that suggests loans without considering the ATR (Ability-to-Repay) requirement.
- **Block:** Any attempt to bypass consumer protection laws.

8. Flood Insurance & Force-Placed Insurance Compliance

- **Block:** Any response that denies federally required flood insurance for high-risk properties.
- **Block:** Any suggestion that lenders can impose unauthorized force-placed insurance without due process.

9. Error Resolution & Consumer Protection Compliance

- **Block:** Any response that disregards consumer complaints regarding mortgage servicing errors.
- **Block:** Any attempt to mislead borrowers about their rights to dispute or correct mortgage-related errors.

10. State-Level Compliance

- **Block:** Any attempt to provide foreclosure guidance that conflicts with state-specific laws.
- **Block:** Any response that suggests lenders can bypass state escrow limits or disclosure requirements.